

clear that if current low bond yields are permanent, they must produce a corresponding decline in average stock yields and an advance in the value of a dollar of expected earning power, as compared with the situation, say, in 1923–1925. The more liberal valuation of earnings in 1936–1938, as shown by the data relating to the Dow-Jones Industrial Average (found in the Introduction to the Second Edition), would thus appear to have been justified by the change in the long-term interest rate. The disconcerting question presents itself, however, whether or not the fall in interest rates is not closely bound up with the cessation of the secular expansion of business and with a decline in the average profitability of invested capital. If this is so, the debit factors in stock values generally may outweigh the credit influence of low interest rates, and a typical dollar of earning power in 1936–1938 may not really have been worth more than it should have been worth a decade and a half previously.

*The Factor of Timing.* Increasing importance has been ascribed in recent years to the desirability of buying and selling at the right time, as distinguished from the right price. In earlier periods, when the prices of investment issues did not usually fluctuate over a wide range, the time of purchase was not considered of particular importance. Between 1924 and 1929, a comfortable but quite misleading confidence developed in the unlimited future growth of sound stocks, so that any mistake in timing was sure to be rectified by the market's recovery to ever higher levels. The past decade has witnessed very wide fluctuations without a long-term upward trend, except in a relatively small number of issues. Under these conditions it is not surprising that successful investment seems, like successful speculation, to be bound up inescapably with the choice of the right moment to buy and to sell. We thus find that forecasting of the major market swings appears now to be an integral part of the art of investment in common stocks.

The validity of stock-market forecasting methods is a subject for extensive inquiry and perhaps vigorous controversy. At this point we must content ourselves with a summary judgment, which may reflect our own prejudices along with our investigations. It is our view that stock-market timing cannot be done, with general success, unless the